



MEMORANDUM

CN - No. 2026-0026

THE PHILIPPINE STOCK EXCHANGE, INC.

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| ☐ Trading | ☐ Public Advisory |
| ☐ Disclosure | ☐ Administrative/Technology Matters |
| ☐ Listing | ☒ Others: Proposed PSE Market Making Rules |

TO : THE INVESTING PUBLIC AND MARKET PARTICIPANTS

SUBJECT : INVITATION TO SUBMIT COMMENTS ON THE
AMENDMENTS TO THE PSE MARKET MAKING RULES

DATE : June 3, 2026

The Exchange is inviting all interested parties to submit comments on the proposed amendments to the PSE Market Making Rules.

The proposed rules aim to enhance market liquidity by introducing a general framework applied uniformly to all market-making activities on the Exchange, while adopting tailored operational frameworks for specific product categories such as Exchange-Traded Funds and Global Philippine Depositary Receipts.

The proposed rules also set out the accreditation criteria for Market Makers and quoting obligations such as maximum bid-ask spreads, minimum quote sizes, and required presence times during trading sessions.

Lastly, the proposed rules permit an incentive framework designed to reward compliant market makers for providing continuous liquidity.

The proposed rules are attached hereto as **Annex "A"**.

Comments may be sent to the Office of the General Counsel at ogc_list@pse.com.ph until **June 23, 2026**.

(original signed)
Ramon S. Monzon
President and CEO

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AMENDED PSE MARKET MAKING RULES

- SECTION 1. Introduction
- SECTION 2. Definitions
- SECTION 3. Accreditation of Market Makers
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ANNEXES: MARKET MAKING FRAMEWORK FOR SPECIFIC PRODUCTS

- Annex A – Exchange Traded Funds
- Annex B – Global Philippine Depositary Receipts

***Disclaimer:** These draft rules are disseminated solely for the purpose of soliciting comments and feedback from the public and interested market participants. The provisions contained herein do not constitute final regulatory approval or binding exchange policy. The final version of the Rules, once approved by the appropriate regulatory authorities, may differ materially from the draft rules contained in this memorandum.*

Proposed Amendments to the PSE Market Making Rules

SECTION 1. Introduction

These Market Making Rules (hereinafter referred to as “Rules”) are issued to govern the accreditation, obligations, and reportorial requirements of Market Makers (“MMs”) with specific regulations for different Exchange-traded products or securities, as indicated in the Annexes to these Rules, and as may be amended by the Exchange from time to time.

To contribute to the maintenance of fair and orderly markets and maintain active markets in exchange-traded products, Market Makers must enter Market Making orders when there exists, or it is reasonably anticipated that there will exist, a lack of price continuity or a temporary disparity between the supply of, or demand for, a particular product.

SECTION 2. Definitions

When used in these Rules, the following terms shall have the meaning indicated below, unless provided otherwise:

Commission – Refers to the Securities and Exchange Commission.

Designated Specialist – A licensed Salesman employed by a Market Maker and accredited by the Exchange to perform Market Making obligations.

Exchange or PSE – Shall mean The Philippine Stock Exchange, Inc.

Issuer – Any legal entity issuing a financial instrument for which market-making activities are permitted under these Rules.

Market Maker – A registered broker dealer that assumes the obligation of providing two-way quotes for the purpose of ensuring liquidity and maintaining a fair and orderly trading market for exchange-traded products eligible for market making.

“Market Making” – Means the continuous provision of liquidity by a Market Maker through the simultaneous posting of two-way quotes, executed in compliance with the Exchange Rules and applicable regulatory requirements.

Other capitalized terms used in these Rules but not otherwise defined in this section or elsewhere in the Rules shall have the meaning ascribed to them in the relevant rules and regulations of the Commission, Exchange, Securities Clearing Corporation of the Philippines (“SCCP”), or Capital Markets Integrity Corporation (“CMIC”), as the case may be.

SECTION 3. Accreditation of Market Makers

- a. In order to be eligible as a Market Maker, an applicant firm must apply with the Exchange for accreditation as a Market Maker and possess the following qualifications:

Proposed Amendments to the PSE Market Making Rules

- (i) Registered as a broker-dealer by the Commission;
 - (ii) Admitted as a trading participant of the Exchange;
 - (iii) Have an unimpaired paid-up capital of at least One Hundred Million Pesos (Pp100,000,000.00);
 - (iv) Has been continuously operating as a PSE trading participant for the three (3)-year period immediately preceding the filing of the application, OR, if the broker-dealer is unable to meet the minimum operating history requirement, at least two (2) of its key personnel have at least five (5) years' experience in securities trading in a local or WFE-member stock exchange. In this regard, the Exchange will take into account the experience of the qualified personnel on an individual basis;
 - (v) Has at least one (1) Designated Specialist;
 - (vi) Has not been found by a domestic or foreign court of competent jurisdiction, the Commission or comparable foreign body, or a domestic or foreign exchange, electronic marketplace, or self-regulatory organization to have violated a securities or commodities law or regulation for the last two (2) years prior to filing the application; and
 - (vii) Has not been subject to any order, judgment or decree of any court of competent jurisdiction, domestic or foreign, permanently enjoining, barring, suspending or otherwise limiting its involvement in any type of securities, commodities, or banking business or activity.
- b. An applicant for accreditation as a Market Maker shall submit the following to the Exchange:
- (i) Letter of Intent to operate as a Market Maker duly signed by the nominee;
 - (ii) Board Resolution authorizing the applicant to engage in Market Making operations;
 - (iii) Processing fee in the amount of Five Thousand Pesos (₱5,000.00) for each issue, or such other amount as may be prescribed by the Exchange from time to time; and
 - (iv) Such other documents that may be required by the Exchange.
- c. Upon finding that the applicant complies with the accreditation requirements, the Exchange shall issue a notice to the applicant of the approval of its application for accreditation as a Market Maker.
- d. The accreditation of a Trading Participant as a Market Maker shall be non-transferable.

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- e. The accreditation of a Market Maker shall be valid until terminated under these Rules. The accreditation may be renewed thereafter subject to compliance with the requirements of the Exchange.
- f. Only accredited Market Makers shall be allowed to enter into a Market Making agreement and perform Market Making functions pursuant to the agreement and applicable regulatory requirements.
- g. Only accredited Designated Specialists are allowed to perform the Market Making functions and obligations of the Market Maker.

SECTION 4. Market Making Agreements

- a. A Market Maker may act as a Market Maker for more than one financial product or security, subject to approval by the Exchange.
- b. No Market Maker may enter Market Making orders for a listed security unless a valid Market Making Agreement is in effect between the Market Maker and either the Issuer or the Exchange.
- c. Upon expiration of the agreement between the Market Maker and the Issuer or Exchange, the Market Maker is prohibited from entering Market Making orders for that particular financial product or security.

SECTION 5. Market Making Incentives

- a. The appointment of Market Makers are subject to commercial agreements between the Exchange and Market Makers in terms of Exchange and clearing fee concessions, price quoting services, connectivity support, exemption from short selling restrictions, and other incentives.
- b. Key information about Market Making arrangements between the Exchange and the Market Maker will be reported to the Commission.

SECTION 6. Reportorial Requirements

- a. The Market Maker shall provide written notice to the PSE Market Operations Division, delivered either by hand or via electronic transmission, of any of the following events or developments. Such notice must be submitted within one (1) trading day from the Market Maker's knowledge of the event or development, and in no event later than three (3) trading days from occurrence thereof:
 - (i) Any material change in information relating to the Market Maker or its Designated Specialist/s;

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- (ii) Any actual or expected breach by the Designated Specialist/s of the Market Making rules and the requirements of the Exchange;
- (iii) Any disciplinary action taken or any penalty imposed by the Commission, SCCP, CMIC, or any other self-regulatory organization on the Market Maker or its Designated Specialist;
- (iv) Any disciplinary action taken by the Market Maker against its Designated Specialist/s;
- (v) Filing or pendency of any criminal case involving fraud by or against the Market Maker, its officers, directors or Designated Specialist/s;
- (vi) Filing or pendency of any civil case with a claim amounting to at least One Hundred Thousand Pesos (Php100,000.00) by or against the Market Maker.

The Market Maker shall supply any additional information or supporting documents that may be requested by the Exchange in connection with the aforementioned circumstances.

- b. The Exchange reserves the right to disclose to the public any and all documentary submissions and disclosures of the Market Maker upon a determination that the same is necessary in order to maintain a fair and orderly market for the protection of the investing public or upon order of the Commission.

SECTION 7. Obligations of a Market Maker

- a. All Market Makers must comply with the guidelines and parameters established by the Exchange to ensure sufficient market liquidity. These guidelines define the applicable quoting periods, spread parameters, minimum quote sizes, and the overall compliance methodology:

- (i) Maximum Spread

A Market Maker must ensure two-way quotes, *i.e.*, buy and sell orders, with a maximum spread. The limit of the bid and ask spread shall be based on the terms indicated by the Exchange for a specific financial product or security.

- (ii) Minimum Order Quantity

Each Market Making order posted by a Market Maker must have a minimum quantity based on the terms indicated by the Exchange for a specific financial product or security. The Exchange may prescribe other appropriate volume requirements, as may be necessary.

Proposed Amendments to the PSE Market Making Rules

(iii) Presence

To ensure continuous market liquidity, a Market Maker shall post and maintain two-way quotes for a minimum prescribed duration of the trading session as determined by the Exchange for a specific financial product or security.

- b. The Exchange shall regularly monitor the performance of all Market Makers using the parameters set forth in these Rules. In the event of any breach or non-compliance with the obligations provided herein, Section 14 of the Rules shall apply.
- c. A Market Maker's agreement with an Issuer or the Exchange may not supersede the applicable minimum requirements of the Exchange as set forth in these guidelines. The Issuer or Exchange may impose additional obligations for the Market Maker provided that the obligations set by the Exchange in these Rules are complied with at the minimum.

SECTION 8. Occurrence of a Wide Spread

- a. Wide Spread shall mean the occurrence of any of the following during the Continuous Trading phase:
 - (i) the bid and ask spread is larger than a limit specified by the Exchange from time to time;
 - (ii) there is only one-sided quotation; or
 - (iii) there is no existing quotation on both the bid and ask queues.
- b. Upon occurrence of Wide Spread, a Market Maker shall be obliged to perform the following:
 - (i) enter buy and/or sell Market Making orders into the System in quantities not less than the minimum volume required by the Exchange to eliminate Wide Spread;
 - (ii) observe a maximum bid and offer spread throughout a mandatory period; and
 - (iii) maintain presence in the market within the period required by the Exchange.

The Exchange may periodically assess and revise the parameters to adjust to market conditions such as, but not limited to, excessive volatility of the relevant securities.

SECTION 9. Responsibility for Market Making Orders

- a. A Market Maker shall be fully responsible and liable for all Market Making orders entered into the Trading System. Upon entering a Market Making order, the Market Maker warrants to the Exchange that the said order is valid, binding and enforceable and that the necessary authorizations and approval have been secured.

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- b. All acts or omissions of the Designated Specialist in the performance of its Market Making obligations are binding on and considered the acts or omissions of the Market Maker.

SECTION 10. Segregation of Functions

- a. The Market Maker shall maintain proper segregation of functions within the firm to prevent the flow of information between its Designated Specialists and its other salesmen and any conflict of interest that may result.
- b. The Market Maker shall ensure that its Designated Specialist is able to enter orders or handle or manage any transactions relating to client accounts or to any other account without compromising the segregation of information between accounts.
- c. A Market Maker shall use its designated Market Making Account only for entering Market Making orders.
- d. A Market Maker shall maintain only the Market Making and error accounts for the financial product/s or securities in which it is designated as a Market Maker.
- e. The Market Maker shall maintain complete and identifiable books and records for its Market Making transactions. The Market Maker shall include a registry pinpointing the person who acted as the Designated Specialist(s) during a particular day or period.

SECTION 11. Temporary Suspension of the Obligations to be Performed by the Market Maker

Any agreement between the Issuer of the financial product or security and the Market Maker to the contrary notwithstanding, the Exchange may grant the request of the temporary suspension of the Market Making obligations of a Market Maker under any of the following circumstances:

- a. If the delay or inability to execute the obligation is due to technical problems arising from circumstances outside the reasonable control of the Market Maker;
- b. If the Designated Specialist is temporarily unable to perform his functions for reasons beyond his control and there is no substitute Designated Specialist available; or
- c. Such other cases as the Exchange may deem necessary for a fair and orderly market and to protect the investing public.

The Exchange and the Market Maker shall immediately disclose any grant of a temporary suspension of the Market Making obligations by posting in their respective websites the decision to grant the request, the reasons therefor, and the period of the suspension.

In such event, the continuing disclosure requirements under the Securities Regulation Code and the Exchange Rules shall likewise be complied with by the Issuer.

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SECTION 12. Voluntary Termination of a Designated Specialist

The Exchange may, upon the written request of the Market Maker, terminate the accreditation of its Designated Specialist, provided the Market Maker immediately appoints a replacement, if necessary.

SECTION 13. Voluntary Withdrawal of Accreditation as Market Maker

- a. A Market Maker may voluntarily withdraw as a Market Maker for any financial product or security with which it has an existing Market Making agreement provided it submits to the Exchange at least thirty (30) trading days prior to the intended date of withdrawal: (i) a written request for its withdrawal; and (ii) the written consent of the concerned Issuer.
- b. If the Market Maker intends to completely cease its Market Making operations, it shall submit to the Exchange at least thirty (30) trading days prior to the intended date of cessation: (i) a written request for its cessation; and (ii) the written consent of all Issuers with which it has existing Market Making agreements.
- c. A Market Maker which submits both requirements shall be eligible to apply for re-accreditation as a Market Maker at any time. If it submits only the request for withdrawal or cessation but fails to submit the written consent of the concerned Issuers, it shall only be eligible to apply for re-accreditation as a Market Maker after a cooling-off period of one (1) month from the effective date of withdrawal or cessation.
- d. Within a reasonable time and in all cases prior to the intended date of withdrawal by the Market Maker or its intended date of cessation of Market Making operations, the Issuer shall submit to the Exchange the name and other details of the replacement Market Maker appointed by the Issuer. In cases where the previous Market Maker is the sole Market Maker of a financial product or security, the appointment of the replacement Market Maker shall commence not later than the effective date of withdrawal or the effective date of the cessation of the Market Making operations of the previous Market Maker.

SECTION 14. Consequences of Non-Compliance with Market Making Obligations

In the event of continuous failure by the Market Maker to comply with its Market Making obligations under these Rules, the PSE may contact and request a briefing from the Market Maker which may result in the suspension or revocation of a firm's Market Maker status.

The foregoing shall be without prejudice to any other regulatory action that the Exchange may take against the Market Maker or its Designated Specialist, as may be applicable under the circumstances.

Market Making Framework for Exchange Traded Funds

Pursuant to Sections 5(14) and 8(2) of the SEC ETF Rules governing the mandatory obligations of a Market Maker, any Exchange-Traded Fund (“ETF”) qualifying under these regulations shall subject its Issuer and participating Market Maker to the Market Making Rules set forth herein, alongside all applicable rules, regulations, and subsequent directives issued periodically by the Commission or the Exchange.

To ensure sufficient liquidity in the market, ETF Market Makers are obliged, upon occurrence of Wide Spread, to perform the following when posting Market Making orders:

a. Maximum Spread

An ETF Market Maker must ensure two-way quotes, *i.e.*, buy and sell orders, with a maximum spread based on the table below:

Price		Maximum Spread
From	To	
0.0001	0.4950	20 ticks
0.5000	19.9800	15 ticks
20.0000	999.5000	10 ticks
1000.0000	UP	5 ticks

b. Minimum Order Quantity

Each Market Making order posted by an ETF Market Maker must have a minimum quantity of five (5) board lots. The Exchange may prescribe other appropriate volume requirements, as may be necessary.

c. Presence

1. An ETF Market Maker shall maintain Market Making Orders for at least fifty percent (50%) of the time for any given trading day. This obligation is measured by getting the total number of hours/minutes that the Market Maker has an active order when the market is open at any given trading day.

Illustration:

ETF symbol: ABC
 LTP: Php25.00
 Tick size: 0.05
 Lot size: 100

Using the table above, the Market Maker for ETF ABC must maintain a maximum spread of 10 ticks. This means that the difference between the best bid price and the best ask price for ETF ABC must not exceed .50 (10 ticks x .05). The market making orders to be entered must have a minimum quantity of 500 shares (5 board lots x 100 shares).

➤ Scenario 1:

Current Order Book

Volume	Bid	Ask	Volume
1,500	24.90	25.50	6,000
2,300	24.80	25.55	400
		25.60	1,200

In the current order book, the bid and ask spread is .60 which is beyond the maximum spread for ETF ABC. The Market Maker may enter either of the following:

- Sell order: 500 shares at Php25.40

New Order Book

Volume	Bid	Ask	Volume
1,500	24.90	25.40	500
2,300	24.80	25.50	6,000
		25.55	400
		25.60	1,200

- Buy order: 700 shares at Php25.00

New Order Book

Volume	Bid	Ask	Volume
700	25.00	25.50	6,000
1,500	24.90	25.55	400
2,300	24.80	25.60	1,200

- Buy order: 1,000 shares at Php24.95 and Sell order: 800 shares at Php25.45

New Order Book

Volume	Bid	Ask	Volume
1,000	24.95	25.45	800
1,500	24.90	25.50	6,000
2,300	24.80	25.55	400
		25.60	1,200

- Buy order: 900 shares at Php25.00 and Sell order: 1,200 shares at Php25.35

New Order Book

Volume	Bid	Ask	Volume
900	25.00	25.35	1,200
1,500	24.90	25.50	6,000
2,300	24.80	25.55	400
		25.60	1,200

➤ Scenario 2:

Current Order Book

Volume	Bid	Ask	Volume
3,000	24.75		
200	24.60		

This scenario is considered a one-sided quotation or one-sided order book since there are no selling orders. In this case, the Market Maker is obliged to enter market making orders to maintain the maximum spread for the ETF which is 10 ticks (equivalent to .50 for ETF ABC). The Market Maker may enter either of the following:

- Sell order: 600 shares at Php25.25

New Order Book

Volume	Bid	Ask	Volume
3,000	24.75	25.25	600
200	24.60		

- Buy order: 1,100 shares at Php24.80 and Sell order: 500 shares at Php25.30

New Order Book

Volume	Bid	Ask	Volume
1,000	24.80	25.30	500
3,000	24.75		
200	24.60		

- Buy order: 1,300 shares at Php24.85 and Sell order: 700 shares at Php25.00

New Order Book			
Volume	Bid	Ask	Volume
1,300	24.85	25.00	700
3,000	24.75		
200	24.60		

The Exchange shall regularly monitor the performance of all ETF Market Makers using the parameters set forth in these guidelines. In the event of any breach or non-compliance with the obligations provided herein, the PSE may contact and request a briefing from the Market Maker which may result in the suspension or revocation of a firm's Market Maker status or any disciplinary action deemed appropriate by the Exchange.

An ETF Market Maker's agreement with an ETF may not supersede the minimum requirements of the Exchange as set forth in these guidelines. The ETF may impose additional obligations for the ETF Market Maker provided that the obligations set by the Exchange are complied with at the minimum

Market Making Framework for Global Philippine Depositary Receipts

An Issuer of Global Philippine Depositary Receipts (“GPDR”) may choose to appoint a Market Maker based on the PSE Market Making Rules set forth herein, alongside all applicable rules, regulations, and subsequent directives issued periodically by the Commission or the Exchange.

To ensure sufficient liquidity in the market, a GPDR Market Maker is obliged, upon occurrence of Wide Spread, to perform the following when posting Market Making orders:

a. Maximum Spread

A GPDR Market Maker must ensure two-way quotes, i.e., buy and sell orders, with a maximum spread based on the table below:

Price		Maximum Spread
From	To	
0.0001	0.4950	20 ticks
0.5000	19.9800	15 ticks
20.0000	999.5000	10 ticks
1,000.0000	UP	5 ticks

b. Minimum Order Quantity

Each Market Making order posted by a GPDR Market Maker must have a minimum quantity of five (5) board lots. The Exchange may prescribe other appropriate volume requirements, as may be necessary.

c. Presence

1. A GPDR Market Maker shall maintain Market Making orders for at least fifty percent (50%) of the time for any given trading day. This obligation is measured by getting the total number of hours/minutes that the Market Maker has an active order when the market is open at any given trading day.

The Exchange shall regularly monitor the performance of all GPDR Market Makers using the parameters set forth in these guidelines. In the event of any breach or non-compliance with the obligations provided herein, the PSE may contact and request a briefing from the Market Maker which may result in the suspension or revocation of a firm’s Market Maker status ~~may result for~~ any disciplinary action deemed appropriate by the Exchange.

A GPDR Market Maker’s agreement with a GPDR Issuer may not supersede the minimum requirements of the Exchange as set forth in these guidelines. The GPDR Issuer may impose additional obligations for the GPDR Market Maker provided that the obligations set by the Exchange are complied with at the minimum.